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Secure Distribution Venture Pvt. Ltd.

What Is Future Income Securitization?

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Chapter 1: Product Overview & Core Philosophy of Future Income Securitization

1.1 Definition & Conceptual Framework

Defining Future Income Securitization: Future Income Securitization—commonly designated in international and Indian wholesale credit markets as Future Flow Securitization—represents an advanced financial engineering mechanism wherein an operating enterprise, public sector undertaking (PSU), or infrastructure developer monetizes contractually expected or highly predictable future revenue streams that have not yet been earned on the balance sheet. Unlike traditional Asset-Backed Securitization (ABS) or Mortgage-Backed Securitization (MBS), which securitizes existing, fully accrued financial assets (such as existing auto loans, home loans, or static trade receivables), Future Income Securitization transforms future operational cash flows into immediate, upfront liquid capital.

The Mechanism of Future Cash Flow Monetisation: In a Future Income Securitization transaction, the originating entity legally assigns its contractual rights to receive future cash flows—derived from long-term Power Purchase Agreements (PPAs), highway annuity or toll concessions, commercial real estate lease agreements, airline ticket sales receivables, or intellectual property royalty contracts—to an independent, bankruptcy-remote Special Purpose Vehicle (SPV) Trust. The SPV Trust issues debt securities, known as Pass-Through Certificates (PTCs) or Structured Notes, to institutional investors. The proceeds from the issuance are remitted to the originator as upfront non-dilutive capital, while the future cash inflows are collected in a lender-controlled Escrow Trust & Retention Account (TRA) to service the debt over time.

1.2 The Paradigm Shift: Existing Asset ABS vs. Future Flow Securitization

Structural Dichotomy: The fundamental distinction between existing asset securitization and future income securitization lies in the nature of the underlying collateral and the operational performance dependency:

Operational Performance vs. Static Collections: Existing ABS securitizes debt claims for goods or services already delivered (e.g., a pool of 10,000 active retail vehicle loans). The originator's ongoing operational performance is largely irrelevant to debt servicing because the debt claims exist independently as legal obligations of third-party retail borrowers. In contrast, Future Income Securitization monetizes cash flows that will be generated over a future 5-to-15 year horizon. Consequently, debt servicing relies on both the contract obligor's creditworthiness and the originator's continued operational capacity to generate the underlying service or commodity (such as generating solar power or maintaining a highway).

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1.3 Real-World Benchmark: The Public Sector Power Cash Flow Precedent

The NHPC Hydro-Power Monetisation Milestone: A classic reference point in the Indian market for structured future cash flow monetisation occurred when state-owned hydro-power giant NHPC Limited approved the 10-year monetisation of power cash flows from its operational Uri-II and Dhauliganga hydro power stations. By monetizing a 10-year strip of future tariff cash flows backed by long-term power purchase contracts with state utilities, NHPC unlocked substantial upfront liquidity to fund its greenfield renewable expansion pipeline without diluting government equity or over-leveraging its corporate balance sheet. This precedent demonstrated how high-grade operational assets with predictable tariff cash flows can be structured to raise long-term, low-cost capital.

1.4 Comparative Structural Matrix

The table below delineates the structural differences between Future Income Securitization, Existing Asset ABS, and On-Balance Sheet Corporate Term Loans:

Dimension	Future Income Securitization	Existing Asset ABS (MBS/Auto)	On-Balance Sheet Term Debt
Underlying Collateral	Future, unearned contract receivables (PPAs, Leases, Tolls)	Existing accrued financial debt claims (Loan Pool)	General corporate fixed & current assets
Balance Sheet Impact	Debt-neutral / Off-Balance Sheet (True Sale / Assignment)	Full Asset Derecognition (Ind AS 109)	On-Balance Sheet Liability (Increases Debt/EBITDA)
Credit Rating Drivers	Contract Off-Taker Credit + Escrow Ring-Fencing	Granular Historical Pool Loss Performance	Originator Corporate Balance Sheet Rating
Bankruptcy Remoteness	High (Protected under IBC Sec 18 & 36(4))	High (True Sale to Bankruptcy-Remote SPV)	Low (Subject to Section 14 CIRP Moratorium)
Primary Servicing Source	Direct Escrow Sweep from Obligors	Direct Collections from Retail Borrowers	Originator General Operational Cash Inflows

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Chapter 2: Structural Architecture & Mechanics of Future Flow Securitization

2.1 The Bankruptcy-Remote SPV Trust Architecture

The SPV Settlement Process: The architectural core of Future Income Securitization is the establishment of an independent, bankruptcy-remote Special Purpose Vehicle (SPV) Trust. The trust is settled by a SEBI-registered Trustee (such as Vistra ITCL, Catalyst Trusteeship, or SBICAP Trustee) under the Indian Trusts Act, 1882. The originator executes a absolute Deed of Assignment, conveying all future contractual rights, titles, and benefits associated with specified revenue contracts to the SPV Trust.

Legal Isolation and Insolvency Protection: Because the SPV Trust is legally distinct from the originator, the securitized cash flows are insulated from any financial distress or corporate insolvency experienced by the originator. Under the Insolvency and Bankruptcy Code (IBC) 2016, assets held in trust by an SPV or legally assigned prior to insolvency initiation are strictly excluded from the originator's liquidation estate.

2.2 Trust & Retention Account (TRA) Priority Cash Waterfall

Direct Escrow Cash Ring-Fencing: All underlying off-takers (e.g., SECI for solar power, commercial tenants for office leases, or highway authorities for toll/annuities) are served with an Irrevocable Payment Instruction. This notice mandates that 100% of future contract receivables must be remitted directly into a lender-controlled Escrow Trust & Retention Account (TRA) managed by an Escrow Agent Bank. The cash is distributed strictly according to a contractually binding priority waterfall:

Priority 1: 1. Statutory Taxes & Government Dues (GST, Municipal Levies)

Priority 2: 2. Essential Asset Operation & Maintenance (O&M) Expenses (Capped budget)

Priority 3: 3. Senior Pass-Through Certificate (Class A PTC) Interest & Principal Servicing

Priority 4: 4. Debt Service Reserve Account (DSRA) Replenishment (1-2 quarters buffer)

Priority 5: 5. Subordinated / Class B PTC Coupon & Principal Servicing

Priority 6: 6. Excess Interest Spread (EIS) / Surplus Release to Originator

2.3 Tranching & Credit Enhancement Mechanics

Credit Enhancement Architecture: To achieve a high credit rating (typically CRISIL/ICRA AAA(SO) or AA+(SO)) for senior debt notes, the securitization structure incorporates internal and external credit enhancements:

Subordination (Senior/Subordinated Tranching): Senior debt notes (Class A PTCs) constitute 75% to 85% of the total issuance and hold first-priority claims on monthly escrow cash inflows. Subordinated notes (Class B PTCs) constitute 15% to 25% of the issue, are

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retained by the originator or purchased by high-yield private credit funds, and absorb initial cash flow shortfalls.

Chapter 3: Regulatory, Legal & Statutory Framework in India

3.1 RBI Master Directions on Securitisation of Standard Assets (2021 & 2025 Draft)

RBI Regulatory Compliance: The Reserve Bank of India (RBI) regulates securitization transactions via the Master Direction – Reserve Bank of India (Securitisation of Standard Assets) Directions, 2021, and subsequent draft frameworks. Key regulatory pillars include:

Minimum Holding Period (MHP): Originators must hold specified revenue contracts on their books for a minimum seasoning period before securitization (e.g., 3 to 6 months of continuous operational cash generation following Commercial Operation Date - COD).

Minimum Retention Requirement (MRR): Originators must retain a minimum economic interest in the securitized exposure (typically 5% to 10% of the total issue value) to ensure alignment of interest and prevent moral hazard.

3.2 Indian Accounting Standards (Ind AS 109 & Ind AS 115)

Accounting Treatment & Derecognition: Under Ind AS 109 (Financial Instruments), an originator evaluates whether assigned future revenue rights qualify for full off-balance sheet derecognition based on a 3-step test:

Step 1: 1. Transfer of Contractual Rights: The originator transfers the legal rights to receive cash flows to the SPV Trust.

Step 2: 2. Pass-Through Evaluation: The SPV collects and passes cash flows directly to PTC holders without retaining discretion.

Step 3: 3. Transfer of Substantially All Risks & Rewards: If the originator transfers substantially all credit and performance risks (beyond the mandatory MRR retention), the future receivables are derecognized from the balance sheet, resulting in a debt-neutral transaction.

3.3 Income Tax Act 1961 & Companies Act 2013 Compliance

Tax Engineering: Interest payments made on securitized PTC notes are fully tax-deductible as finance costs under Section 36(1)(iii) of the Income Tax Act, 1961. Furthermore, under Section 115UB, SEBI-registered Category II Alternative Investment Funds (AIFs) and Securitisation SPV Trusts enjoy statutory tax pass-through status, wherein income is taxed directly in the hands of the end-investors rather than at the trust level.

Statutory Registrations: All security creation over Escrow TRA accounts, contract assignments, and asset hypothecations must be registered with the Registrar of Companies (ROC) via Form CHG-1 within 30 days pursuant to Section 77 of the Companies Act, 2013.

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Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

4.1 Quantitative Eligibility Benchmarks

To qualify for a Future Income Securitization facility, the transaction must satisfy strict credit underwriting standards:

Underwriting Parameter	Minimum Threshold	Institutional Benchmark / Target
Off-Taker External Credit Rating	BBB- (Investment Grade)	AAA / AA (SECI, NHAI, NTPC, Fortune 500)
Projected Debt Service Coverage Ratio (DSCR)	Minimum 1.25x Average	1.45x to 1.75x Average across tenure
Monthly Escrow Cash Cover Ratio	Minimum 1.20x Monthly Debt Service	1.35x to 1.60x Monthly Debt Service
Unexpired Contract Horizon	Minimum 3 Years remaining term	5 to 15 Years unexpired concession/PPA term
Annual Cash Inflow Scale	INR 10.00 Crores per annum	INR 50.00 Cr to INR 500.00+ Cr per annum

4.2 Qualitative & Operational Filters

Contractual Enforceability: The underlying contract (PPA, Lease, Concession) must contain unconditional payment clauses (such as 'take-or-pay' or 'hell-or-high-water' payment obligations) that prevent the off-taker from unilaterally withholding funds due to minor operational disputes.

Tripartite Step-In Rights: Lenders require a Tripartite Substitution Agreement executed with the contract grantor (e.g., NHAI or SECI). If the originator faces operational failure, the lenders hold step-in rights to substitute a qualified replacement operator to maintain plant operations and safeguard future cash inflows.

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Chapter 5: Security Architecture, Escrow Controls & Documentation Suite

5.1 Collateral & Ring-Fencing Package

The security package for Future Income Securitization is designed around cash flow control rather than real estate liquidation:

Primary Security: 1. First Pari-Passu Charge on Escrow Receiving & Debt Service Reserve Accounts (DSRA)

Contract Security: 2. Absolute Assignment of Underlying Future Revenue Contracts (PPAs, Leases, Concessions)

Share Pledge: 3. Exclusive Pledge of 51% to 100% Equity Shares of the Project SPV with Irrevocable Power of Attorney

Liquidity Reserves: 4. Debt Service Reserve Account (DSRA) holding 3 to 6 months of principal and interest servicing in fixed deposits

5.2 Master Documentation Suite

The standard legal documentation suite includes:

• **Deed of Assignment:** Executed between Originator and SPV Trustee conveying future contract rights.

• **Tripartite Escrow TRA Agreement:** Governing Escrow TRA account management, waterfall priorities, and cash sweeps.

• **Notice of Assignment & Irrevocable Payment Undertaking:** Executed by the contract off-taker agreeing to remit 100% payments into Escrow.

• **Tripartite Substitution Agreement:** Defining step-in rights for senior lenders upon operational default.

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Chapter 6: Indicative Tenure, Pricing Structure & Yield Dynamics

6.1 Tenure Horizons & Amortization Profiles

Tenure Alignment: Indicative tenures for Future Income Securitization range from 3 Years (36 Months) to 15 Years (180 Months), directly aligned with the unexpired term of the underlying revenue contracts. Amortization is structured via tailored monthly or quarterly Pass-Through Certificate repayments matching contract cash generation cycles.

6.2 Pricing Breakdown & Yield Dynamics

Competitive Cost of Capital: Senior AAA-rated PTC notes are priced at a tight spread over benchmark sovereign yield curves (e.g., 91-Day T-Bill or 10-Year G-Sec + 100 to 180 bps), resulting in an effective borrowing cost of 7.50% to 8.80% p.a. Subordinated / Class B PTC notes held by private credit funds yield 13.00% to 17.00% p.a. All-In Yield to Maturity (YTM).

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Chapter 7: Suitable Industries, Business Profiles & Use Cases

7.1 Prime Industry Sectors

Future Income Securitization is ideal for capital-intensive sectors with long-term, contracted cash flows:

1. Renewable Energy & Utilities: Monetizing 10-to-25 year PPAs with SECI, NTPC, or state discoms.

2. Highway & Toll Infrastructure: Monetizing 15-to-30 year annuity payments from NHAI under Hybrid Annuity Model (HAM) projects.

3. Commercial Real Estate & IT Parks: Lease Rental Discounting (LRD) of long-term commercial office leases with Fortune 500 MNC tenants.

4. Telecom & Digital Infrastructure: Monetizing Master Service Agreements (MSAs) with telecom operators.

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Chapter 8: Key Advantages & Structural Limitations

8.1 Strategic Advantages

1. Ownership Retention: • 100% Zero Equity Dilution: Converts future cash flows into upfront capital while retaining 100% promoter equity ownership.

2. Off-Balance Sheet Structure: • Balance Sheet Optimization: Off-balance sheet true-sale assignment preserves corporate leverage ratios.

3. Cost Reduction: • Rating Uplift: AAA(SO) structural credit rating significantly lowers borrowing costs compared to corporate rating.

8.2 Structural Limitations & Risks

1. Single Obligor Exposure: • Off-Taker Credit Concentration: Default by a primary off-taker directly impacts escrow cash inflows.

2. Operational Dependency: • Operational Performance Risk: The originator must maintain plant/asset availability to prevent contract termination.

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Chapter 9: Comprehensive Real-World Case Study (INR 800 Crore Future Flow Securitization)

9.1 Corporate Profile & Transaction Context

Originator Overview: Solaris Green Urja India Limited (SGUIL) operates a 300 MW operational solar park in Rajasthan with a 25-year Power Purchase Agreement (PPA) with Solar Energy Corporation of India (SECI) at a fixed tariff of ₹3.20 per kWh. The plant generates an average annual revenue of ₹140.00 Crores with an operational EBITDA margin of 88.0% (₹123.20 Crores EBITDA).

The Capital Requirement: SGUIL required ₹800.00 Crores of upfront capital to fund a new 500 MW greenfield solar project. SGUIL's existing balance sheet carried ₹1,100 Crores of debt (Debt-to-Equity 2.6:1), preventing further corporate bank borrowings.

9.2 Securitization Structure & Execution

The Future Flow Structure: SGUIL settled 'Solaris Securitisation Trust I' (SPV Trust) and executed a True Sale Deed of Assignment conveying 12 years of future SECI PPA tariff cash flows to the Trust. The SPV Trust issued ₹800.00 Crores in Pass-Through Certificates (PTCs):

• **Senior Class A1 PTCs (₹680.00 Crores / 85%):** Rated 'CRISIL AAA(SO)' @ 7.90% p.a. coupon, subscribed by commercial banks and mutual funds.

• **Subordinated Class B PTCs (₹120.00 Crores / 15%):** Retained by SGUIL as MRR / Subordinated Tranche yielding residual cash returns.

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9.3 10-Year Financial Model & Escrow Waterfall Table

The table below details the 10-year projected cash flow waterfall for Solaris Securitisation Trust I (all figures in INR Crores):

Year	Gross PPA Inflow	O&M Cost	Senior Debt EMI	DSRA Reserve	Class B Payout	Surplus Inflow
Year 1	140.00	16.80	98.50	15.00	5.00	4.70
Year 2	143.50	17.64	98.50	15.00	8.00	4.36
Year 3	147.09	18.52	98.50	15.00	10.00	5.07
Year 4	150.76	19.45	98.50	15.00	12.00	5.81
Year 5	154.53	20.42	98.50	15.00	14.00	6.61
Year 6	158.39	21.44	98.50	15.00	16.00	7.45
Year 7	162.35	22.51	98.50	15.00	18.00	8.34
Year 8	166.41	23.64	98.50	15.00	20.00	9.27
Year 9	170.57	24.82	98.50	15.00	22.00	10.25
Year 10	174.84	26.06	98.50	0.00*	25.00	25.28

Financial Impact: Outcome Analysis: SGUIL successfully raised ₹680.00 Crores in upfront senior capital @ 7.90% p.a. (335 bps cheaper than its corporate debt cost). The off-balance sheet treatment preserved SGUIL's corporate debt ratios, allowing it to construct the 500 MW expansion project on schedule.

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Chapter 10: Legal Framework under IBC 2016 & Bankruptcy Remoteness

10.1 Sections 18 & 36(4) Statutory Protections

Statutory Isolation under Insolvency: Under Explanation (a) to Section 18 and Section 36(4)(a) of the Insolvency and Bankruptcy Code (IBC), 2016, assets held in trust by a corporate debtor or legally assigned to a third-party SPV prior to insolvency admission are strictly excluded from the corporate debtor's liquidation estate. If SGUIL enters CIRP, SECI tariff inflows entering the Escrow TRA account continue servicing PTC debt notes completely unaffected by the Section 14 CIRP Moratorium.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

Q1: What is the primary difference between Future Income Securitization and traditional ABS?

Answer: Traditional ABS securitizes existing, accrued debt claims (like static auto loans), whereas Future Income Securitization monetizes unearned future contractual cash flows (like 15-year PPA tariffs or lease rentals).

Q2: How does Future Income Securitization achieve bankruptcy remoteness under the IBC 2016?

Answer: Future cash flows are legally assigned via a True Sale to an independent SPV Trust. Under Sections 18 & 36(4) of the IBC, assets held in trust are excluded from the originator's liquidation estate.

Q3: What is the role of an Irrevocable Payment Instruction in this structure?

Answer: It legally mandates the contract off-taker (e.g., SECI or a commercial tenant) to remit 100% of future payments directly into the lender-controlled Escrow TRA account.

Q4: What is a Minimum Retention Requirement (MRR) under RBI directions?

Answer: MRR requires the originator to retain a minimum economic interest (typically 5% to 10%) in the securitized pool to align interests with investors.

Q5: What is the purpose of a Debt Service Reserve Account (DSRA)?

Answer: A DSRA holds 1 to 2 quarters of principal and interest servicing in liquid fixed deposits to cushion temporary cash flow disruptions.

Q6: How does Ind AS 109 treat True Sale securitizations?

Answer: If the transaction transfers contractual rights and substantially all risks and rewards, the assigned future receivables are derecognized from the originator's balance sheet.

Q7: What is an Excess Interest Spread (EIS)?

Answer: EIS is the margin difference between the incoming yield from the contract off-taker and the lower coupon rate paid to senior PTC holders, serving as a credit loss buffer.

Q8: Why do senior PTC notes achieve a rating uplift to AAA(SO)?

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Answer: Due to structural credit enhancements (subordination, OC, EIS), direct off-taker creditworthiness, and bankruptcy-remote escrow ring-fencing.

Q9: What is a Tripartite Step-In Right?

Answer: A contractual mechanism allowing senior lenders to replace a defaulting operator with a qualified substitute to maintain asset operations and cash inflows.

Q10: How are interest payments treated under Section 36(1)(iii) of the Income Tax Act?

Answer: Interest paid on securitized PTC notes is fully tax-deductible as a corporate finance cost.

Q11: What is the primary risk associated with off-taker credit quality?

Answer: If the primary off-taker defaults on its contractual payment obligations, escrow cash inflows diminish, threatening PTC debt servicing.

Q12: What statutory registration is mandatory under Section 77 of the Companies Act 2013?

Answer: Registration of security charges over Escrow TRA accounts and contract assignments with the Registrar of Companies (ROC) via Form CHG-1 within 30 days.

Q13: Why is Future Income Securitization attractive to infrastructure developers?

Answer: It provides massive upfront non-dilutive capital, lowers borrowing costs via rating uplift, and preserves corporate balance sheet leverage ratios.

Q14: What is Over-Collateralization (OC) in future flow structuring?

Answer: OC occurs when the present value of assigned future cash flows exceeds the face value of issued senior debt notes (e.g., 1.50x asset cover).

Q15: How does Section 115UB of the Income Tax Act benefit SPV Trust investors?

Answer: It provides statutory tax pass-through status, preventing double taxation at the trust level and taxing income directly in the hands of investors.

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